NovaCrest

Q3 2026 Strategic Review — CONFIDENTIAL

October 2026

$15.6M
ARR

118%
Net Revenue Retention

78.2%
Gross Margin

$18.2M
Cash on Hand

81 mo
Runway

0.36x
Burn Multiple (Excellent <1x)

REVENUE DASHBOARD

NovaCrest Q3 2026 — ARR, Unit Economics & Retention

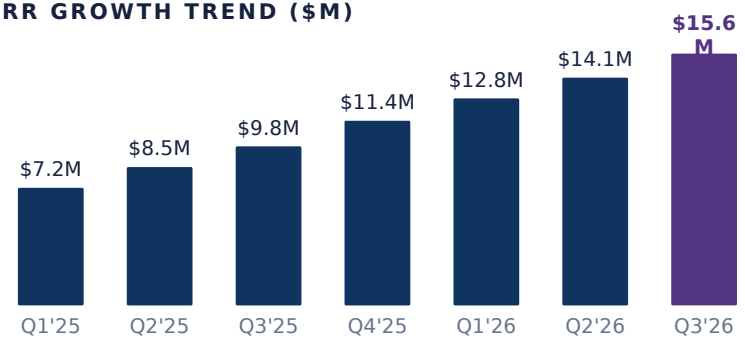
$15.6M
ARR
+10.6% QoQ

118%
Net Revenue Retention
↓ from 121% — monitor

78.2%
Gross Margin
Target: 80%+

1.12
Magic Number
Strong (>0.75)

ARR GROWTH TREND ($M)



UNIT ECONOMICS

Metric	Q3	Q2	Target	Status
Gross Margin	78.2%	77.5%	80%+	On track ↑
NRR	118%	121%	120%+	Concern ↓
Logo Retention	92.4%	94.1%	95%+	Concern ↓
LTV:CAC	4.8x	4.6x	4.0x+	Healthy ✓
CAC Payback	13.2 mo	14.1 mo	<16 mo	On track ↑
Magic Number	1.12	0.98	>0.75	Strong ✓

QoQ ARR growth: +10.6% | YoY growth: +59.2% | Logo retention decline requires immediate CS investment

GTM + CUSTOMER HEALTH

Pipeline, Channel Performance & Q3 Churn Analysis

GO-TO-MARKET

Metric	Q3	Q2	Change
Pipeline	$8.6M	$7.1M	+21.1% ↑
Win Rate	28.4%	26.1%	+2.3pp ↑
Avg Deal	$42K	$38K	+10.5% ↑
Sales Cycle	68d	72d	−5.6% ↑
Quota Attainment	112%	94%	+18pp ↑

CHANNEL BREAKDOWN

Channel	Pipeline	Deals	ACV	CAC
SDR	$3.8M	18	$52K	$24.1K
Inbound	$2.4M	14	$34K	$12.8K
PLG	$0.9M	8	$18K	$6.2K
Partner	$1.5M	5	$68K	$8.4K

CHURN ANALYSIS — Q3

Q3 Churn: $500K gross (+67% vs $300K in Q2)

Account	ARR	Category	Preventable?
Apex Mfg	$145K	M&A	No
Precision Dynamics	$62K	In-house build	Partially
4 SMB accounts	$118K	Price (DataForge)	**Yes**
TechFab	$48K	Bad impl — CS fail	**Yes — CS**
3 SMB accounts	$82K	Never onboarded	**Yes**
Consolidated	$45K	Budget cut	No

58% PREVENTABLE — $290K of $500K

AT-RISK Q4 ACCOUNTS

Account	ARR	Risk Signal
Sterling Mfg	$210K	Champion departed — outreach stalled
Midwest Parts	$58K	Usage down -40% last 60 days
ClearPath	$72K	Renewal + competitive POC active

PRODUCT + TEAM

Q3 Shipped Features, Q4 Roadmap & Headcount

Q3 SHIPPED FEATURES

Feature	Adoption	Revenue Impact
Predictive Maintenance v2	67% enterprise accounts	$1.2M pipeline (3 deals)
Self-Serve Dashboards	340 boards, 89 accounts	CS tickets −18%
SAP Integration (native)	12 accounts connected	Partner channel accelerant
SOC 2 Type II	Cert issued 8/15/26	$380K pipeline unblocked

Q4 ROADMAP

Pri	Feature	Status	Imp
P0	Multi-tenant analytics	60% dev	2 deals e
P0	Siemens MindSphere	Dev starting	$4M
P1	Usage-based pricing	Spec complete	Fix 58% chu
P1	Customer health score	Prototype	Early w

HEADCOUNT

Function	Q2	Q3	Open	Q4 Target
Engineering	42	46	4	50
Product & Design	8	9	1	10
Sales	18	22	3	25
Customer Success	12	14	2	16
Marketing	8	9	1	10
G&A	10	12	1	13
Total	**98**	**112**	**12**	**124**

KEY Q3 HIRES

VP Customer Success

ex-Datadog — heads $700K churn recovery plan

Head of Partnerships

ex-Siemens — leads MindSphere integration

2× Senior ML Engineers

PhD, Georgia Tech — Predictive Maintenance v3

FINANCIAL OUTLOOK + COMPETITIVE POSITION

P&L Summary, Cash Position & Market Landscape

P&L SUMMARY ($K)

Line Item	Q1	Q2	Q3	Q3 YoY	FY2026E
Revenue	$3,400	$3,700	$4,100	**+64%**	$15,400
COGS	($740)	($830)	($890)	+52%	($3,340)
Gross Profit	$2,660	$2,870	$3,210	**+68%**	$12,060
S&M	($1,420)	($1,580)	($1,720)	+48%	($6,480)
R&D	($1,340)	($1,480)	($1,620)	+55%	($6,040)
Net Income	($580)	($700)	($670)	**improved**	($2,520)

$18.2M
Cash on Hand

$223K
Monthly Burn

81 mo
Runway

0.36x
Burn Multiple

COMPETITIVE LANDSCAPE

	NovaCrest	DataForge	Acme Analytics	Ze
ARR	$15.6M	~$45M	~$180M	
Stage	Series B	Series C	Public	S
Target	Mid-mkt mfg	SMB-Mid	Enterprise	M
Win Rate vs	—	62% (depth)	34% (brand)	(
Key Threat	—	Mfg module $199/mo	Acme Lite Q1'27	V

Win rate = our win rate when competing head-to-head. Zenith AI is a growing threat in same ICP.

Board Asks

October 2026 | NovaCrest Board of Directors

APPROVE **$2.5M CS Investment — 8 FTEs**

4 onboarding specialists | 2 renewal managers | 1 SMB CS lead | 1 CS ops

ROI: Reduce preventable churn 60% → save ~$700K ARR/yr | Payback: 14 months

Risk of inaction: Q4 churn forecast $600K+ based on current at-risk pipeline

APPROVE **SMB Usage-Based Pricing Tier — $499/mo entry**

vs current $2.5K/mo minimum — 60+ prospects/qtr currently lost on price

ROI: +$1.2M new ARR in 12 months | Down-tier risk ~$200K (net positive)

Solves 58% of preventable churn via down-tier option; no implementation risk

DISCUSS **Series C Timing — 81-month runway, grow from strength**

Option A: Q2 2027 at $22–25M ARR | Option B: Wait for $30M ARR milestone

ROI: Raise size: $40–60M | Board input needed: timing, size, investor targets

Accelerating growth may compress optionality — raise from strength preferred